

EG US Daily: Netanyahu and Zelensky focused on staying in Trump's good graces.

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US Daily

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 - * Delaying the August recess doesn't make the SAVE Act any less dead.
 - * Midterms will likely shift expectations of Fed actions.

Editorial note: EG's US daily will shift to a Tuesday and Thursday publication schedule for the month of August, beginning Monday 3 August.

Netanyahu and Zelensky both focused on staying in Trump's good graces. Both Israeli Prime Minister Benjamin Netanyahu and Ukrainian President Volodymyr Zelensky are visiting Washington to attend the late Senator Lindsey Graham's funeral today. They are both expected to make separate visits to the White House to meet with President Trump as well.

* Netanyahu's visit will focus on shoring up political support from President Trump ahead of the October elections in Israel. Additionally, Netanyahu and Trump are expected to discuss friction points in the ongoing Iran conflict and Israel's role in future regional peace agreements.

* Zelensky arrives in Washington with momentum: after a public falling out early in Trump's term, US-Ukraine relations have warmed through sustained effort and Ukrainian battlefield success, notably expanding to include US support for long range strikes on Russian targets which began in late 2025. More recently, President Zelensky's sit-down with far-right personality and Trump ally Laura Loomer reflects a more nuanced Ukrainian approach to maintaining political support in the administration. Zelensky is expected to use his visit to keep the bilateral relationship's trajectory improving and to focus on areas of shared interest such as Patriot missile co-production and Ukrainian drone production expertise.

* One key watchpoint across both visits will be US plans for Iran: Netanyahu has sought a more escalatory posture from the US in the region while Zelensky has drawn focus to Russia's material

support for Iran to solicit resources for Ukraine. Trump is unlikely to give much ground on Russian assistance to Iran, having publicly downplayed the matter in comments yesterday. The reported addition of Vice President JD Vance—who reportedly opposes additional military action in Iran—to the Netanyahu meeting likely limits space for Netanyahu to argue the upside of targeting Iran’s nuclear or missile facilities.

Delaying the August recess doesn’t make the SAVE Act any less dead. Senator Mike Lee (R-UT) has promised to force a roll call vote on whether or not to adjourn for the Senate’s traditional, monthlong recess in August in aims to pass his SAVE America Act.

* Senator Lee’s gambit to cancel August recess does not change the underlying whip count Senate Majority Leader John Thune (R-SD) has cited as the main roadblock to considering the bill. Republicans are missing key votes to pass the bill, or even consider it on the Senate floor: Senator Mitch McConnell (R-KY) is still away from Capitol Hill due to health problems, Senator Thom Tillis (R-NC) refuses to vote on measures including the SAVE America Act, and other members, like Senator Bill Cassidy (R-LA), are opposed to considering the measure without reasonable expectations it will pass.

* Lacking political support to advance the bill, without votes to proceed to the House-passed budget resolution, and unwilling to “nuke the filibuster,” Sen. Thune has instead focused on addressing government funding. Bipartisan negotiations are underway to fund the government through December 4th or 11th before the September 30th deadline.

* Senator Lee’s strategy also exposes a pain point within the GOP – vulnerable Republicans up for election this cycle are less willing to participate in a “vote-a-rama” in which they will have to fend off politically sensitive, Democratic-led amendments close to Election Day.

Midterms will likely shift expectations of Fed actions. A new Eurasia Group analysis assesses how markets repriced Fed expectations around past midterms, finding that on average post-election moves lifted the implied Fed path, with markets pricing fewer cuts or more hikes. Our 2026 midterms basecase suggests likely fiscal expansion after the elections, making that the probable repricing again this year.

* EG’s current basecase projects that there are 80% odds Democrats take the House, and 60% odds that Republicans hold the Senate. If Republicans retain control of both houses of Congress this year, a 2027 reconciliation bill will remain possible. That bill, however, will likely be close to net-neutral or even reduce spending overall, depending on the scale of welfare cuts. If Democrats take the House, fiscal slippage will become more likely because welfare cuts will face a greater risk of delay or dilution.

* On balance, this year’s midterms could modestly increase the odds of fiscal expansion relative to current policy over the next two years. All else equal, that outcome would sustain a hawkish bias in Fed expectations because stronger fiscal support would increase expected growth and inflation pressures.

* One possible explanation for this historical pattern is the Fed’s reluctance to adjust rates close to election day, when policy action risks being perceived as politically motivated – with the exception of 2022, when not acting would have instead carried that perception. The Fed has not adjusted policy rates in October of a midterm year since 1998, whereas October moves were as common as in other months in the years before then (see chart below). That leaves uncertainty over the policy path unresolved ahead of the vote, creating scope for markets to adjust expectations once the outcome is known.

* For more information, please see *Goeconomics, United States: US midterms likely to shift expectations of Fed actions* 27 July, 2026.

Quote of the Day

"We do things in a very old manner, a slow manner, a bureaucratic manner, and we must change that...The contractors who are willing to change with us will prosper and grow. Those who don't and resist it will be gone." – Deputy Secretary of Defense Stephen Feinberg as quoted by Bloomberg. Feinberg's statement alludes to the Pentagon's shift toward private credit in defense deals – a key point of criticism among Democratic members of Congress. The quote also sheds light on the Pentagon's transactional disposition toward industry partners, which has caused tension in spats with Anthropic and other firms doing business with DOD.

On the Radar

27 July – 28 August: House on recess

4 August: Michigan primary election

10 August – 11 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

3 November: National midterm elections

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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